WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

PANAMA

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Panama City	Capital and the region's leading international banking and services centre, home to many regional multinational headquarters	Financial services, regional headquarters, real estate, tourism
Panama Canal and the canal corridor	Global trade artery: in fiscal 2026 transits rose 4.1% and revenue 16.6% to $6.6 billion, with new ports, a pipeline and the Río Indio reservoir in preparation	Maritime services, logistics, energy, water infrastructure
Balboa and Cristóbal port terminals	Strategic terminals at both ends of the canal, now run by APM Terminals and TiL (MSC) under temporary contracts of up to 18 months while a long-term model is set	Port operations, logistics, port equipment
Colón Free Zone	Among the world's largest free trade zones and a re-export hub for Latin America, with re-exports up 26.9% in the latest INEC data	Wholesale distribution, re-export trade, logistics
Panamá Pacífico (west bank of the canal)	Special economic area on the former Howard air base, alongside 22,000 hectares acquired by the Canal Authority for logistics and energy development	Logistics, light manufacturing, aviation services
Tocumen International Airport	The Americas' connecting hub for regional air traffic, with passenger numbers up 12.1% year-on-year in Q2 2026	Aviation, air cargo, tourism
Cobre Panamá (Donoso, Colón province)	One of the world's largest copper mines, idle since late 2023 but now processing stockpiled ore, with around 3,000 people on site and its long-term future under review	Copper mining, mining services, power

INVESTOR ENTRY ROUTES

- Proinvex, the investment and export promotion agency of the Ministry of Commerce and Industries (MICI), provides facilitation and sector guidance for foreign investors
- Law 54 of 1998 on legal stability of investments, offering registered investors protection against adverse changes in key legal, tax and customs conditions

- Multinational Headquarters (SEM) and Multinational Manufacturing Services (EMMA) regimes offering preferential tax, migration and labour treatment for regional headquarters, logistics and manufacturing operations
- Colón Free Zone and the Panamá Pacífico special economic area, with customs and tax incentives for distribution, logistics and light-industrial projects
- Dollarised economy: the US dollar circulates as legal tender alongside the balboa, removing currency-conversion risk (S&P transfer and convertibility assessment: AAA)
- Panama Canal Authority concessions and tenders, including new port terminals, a canal pipeline project, the Logistics Corridor and the Río Indio reservoir (tender planned for 2027)
- International banking centre supervised by the Superintendency of Banks, strengthened by a 2026 economic substance law that led to Panama's removal from the EU tax blacklist on 9 October 2026

MARKET-ENTRY OBSERVATION

Panama in October 2026 is one of Latin America's fastest-growing economies, powered by its logistics platform. GDP expanded 5.5% in the first half of 2026, accelerating to 6.4% in the second quarter, after 4.4% growth in 2025, led by transport and logistics (+10.4%) and trade (+8.8%). Foreign direct investment recovered to $792.4 million in H1 2026, from a net outflow of $141.8 million a year earlier, with reinvested earnings accounting for 73%. Reform momentum is clear: the fiscal deficit fell to 3.7% of GDP in 2025, within the 4% legal ceiling, with a 3.5% target for 2026; a landmark pension reform passed in March 2025; S&P affirmed Panama's BBB- investment grade with a stable outlook in September 2026; and the EU removed Panama from its tax blacklist on 9 October 2026, following its exit from the FATF grey list in 2023.

Panama's principal structural task is rebuilding investment momentum and fiscal headroom after the closure of Cobre Panamá in late 2023, which the IMF estimates cost about 4.5% of GDP and contributed to a 63% fall in FDI to $905 million in 2025. Progress is now visible: the government has authorised sales of stockpiled concentrate and the mine's power plant has restarted, an environmental audit found 87.7% compliance, First Quantum has suspended its $20 billion arbitration claim, and the government is weighing three ownership and operating models for a possible long-term restart. Public debt stood at B/.61.9 billion at end-May 2026, and Moody's (Baa3, negative outlook) expects it to stabilise at around 66–67% of GDP as the deficit target falls to 3% in 2027. A durable mining settlement, continued fiscal consolidation and the Canal Authority's multi-billion-dollar project pipeline together offer a clear path to renewed investor confidence.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Future of Cobre Panamá	The mine's 2023 contract was ruled unconstitutional and its long-term operating model is still being decided, although stockpile processing has created around 3,000 site jobs	Monitor the government's choice among the three models under review; a settlement would unlock supply-chain, power and services opportunities
Fiscal consolidation and credit ratings	Debt has risen to B/.61.9 billion and ratings are split (S&P BBB- stable, Moody's Baa3 negative, Fitch BB+ stable), with capital spending restrained	Deficit is on a falling legal path (3.5% in 2026, 3% in 2027); favour projects with private or concession financing rather than budget-dependent payments
Canal water availability and El Niño	The Canal Authority has flagged rising El Niño risk that could bring draft limits, although none have been needed for almost two years	Build water-related scenarios into shipping plans; the Río Indio reservoir creates long-term opportunities in water and civil engineering
Port concession transition	The Supreme Court annulled the Panama Ports Company concession in January 2026 and CK Hutchison has begun international arbitration	Temporary operators ensure continuity; the transition opens opportunities to participate in future long-term port arrangements
Administrative and judicial capacity	Investors cite slow procedures, limited judicial capacity, transparency concerns and some public-sector payment delays	Use Law 54 stability contracts and SEM or EMMA regimes, include international arbitration clauses and secure payment guarantees on public contracts
Social mobilisation around major reforms	Protests in 2022, 2023 and April 2025	Invest in community engagement and local

Issue	Potential Impact	Possible Mitigation
	accompanied debates on mining, pensions and canal water projects	hiring, as Cobre Panamá's recent recruitment shows; build schedule contingencies into large projects
Skills and labour market	Unemployment was 9.4% in 2024 and around half of workers were informal, creating skills gaps in technical roles	Partner with local training programmes; a sizeable available workforce supports labour-intensive logistics, services and construction projects

INVESTOR RISK NOTE

Panama's risk profile is that of a strongly positioned, dollarised logistics hub working through a period of fiscal and investment rebuilding. Growth of 5.5% in H1 2026, record canal revenue, a recovery in FDI, S&P's stable investment-grade rating and removal from the EU tax blacklist all point to improving momentum. The main considerations are the unresolved long-term future of Cobre Panamá, a public debt stock that the government is stabilising through a legally binding deficit path, the transition of the Balboa and Cristóbal ports following the January 2026 Supreme Court ruling, and the canal's sensitivity to rainfall in El Niño years. Each is being actively managed: stockpile processing and formal talks at the mine, fiscal rules with falling targets, temporary operators guaranteeing port continuity, and long-term water investment through the Río Indio reservoir. Investors should structure contracts carefully, using legal stability agreements and international arbitration, and can take comfort from the absence of currency risk and the depth of Panama's trade and logistics franchise.

MARKET ACCESS

Panama is a WTO member and a member of the Central American Integration System (SICA), and it trades through a broad network of agreements, including the US–Panama Trade Promotion Agreement, the EU–Central America Association Agreement and the UK–Central America Association Agreement. It became a Mercosur associate state in December 2024, and the National Assembly approved the Economic Complementation Agreement with Mercosur in October 2025, opening the way to bilateral deals beginning with Brazil. Its national port system handles around 9.4 million TEU a year, the canal links Atlantic and Pacific trade lanes, the Colón Free Zone serves as a re-export platform for Latin America, and Tocumen airport connects the Americas. This combination of trade agreements and physical connectivity makes Panama a natural regional hub for distribution, services and headquarters functions.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (José Raúl Mulino)	Sets economic and investment policy, including the Cobre Panamá decision and the ports transition	Primary reference point for Panama's strategic direction
Ministry of Commerce and Industries (MICI) and Proinvex	Lead trade and investment ministry; runs investment promotion, legal stability registration and trade negotiations	Standard first point of contact for market entry and incentive guidance
Ministry of Economy and Finance (MEF; Minister Felipe Chapman)	Leads fiscal policy, debt management and tax reform, including the economic substance law behind EU delisting	Key counterpart on fiscal, tax and public-investment matters
Superintendency of Banks of Panama	Regulates the international banking centre; Panama has no central bank as the economy is dollarised	Relevant for banking, payments and financial-services entry
Panama Canal Authority (ACP)	Autonomous operator of the canal, generating $6.6 billion of revenue in fiscal 2026 and leading new ports, pipeline, logistics and water projects	Essential partner for logistics, energy and infrastructure engagement
Panama Maritime Authority (AMP)	Port and maritime regulator overseeing the Balboa and Cristóbal transition and one of the world's largest ship registries	Key counterpart for port, shipping and maritime-services investment

Actor	Why It Matters	Waverley Engagement Angle
Colón Free Zone and Panamá Pacífico Agency	Administer Panama's flagship free-trade and special economic zones	Direct route to zone incentives for distribution, logistics and light manufacturing

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce and Industry of Panama (AmCham Panama), the Panama Chamber of Commerce, Industries and Agriculture (CCIAP) and the Panamanian Association of Business Executives (APEDE) are the leading business associations, with the Industrialists' Union of Panama (SIP) representing manufacturers and the Panama Mining Chamber active on the Cobre Panamá debate. More than 100 US companies operate in Panama, and many multinationals run regional headquarters from Panama City under the SEM regime, providing a strong peer network. The Inter-American Development Bank, World Bank, IFC and CAF maintain active programmes in infrastructure, water and private-sector development, and the Panama Canal Authority's industry consultations on new ports and logistics projects are a valuable forum for prospective bidders.

INVESTOR PROFILE BEST SUITED

Panama suits investors seeking a stable, dollarised base for regional operations: logistics, shipping and port investors positioned around the canal and its new concessions; multinationals establishing regional headquarters or distribution centres under the SEM, EMMA and free-zone regimes; financial-services firms building on the international banking centre and the improved standing that follows EU delisting; and infrastructure, water and energy investors targeting Canal Authority projects such as the Río Indio reservoir. Mining and mining-services investors should follow the Cobre Panamá negotiations closely, while tourism and aviation investors can build on strong growth at Tocumen.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage MICI and Proinvex on incentive regimes
Open dialogue on legal stability registration under Law 54 and on the SEM, EMMA and free-zone options best suited to the planned operation.

STEP 2: Track Panama Canal Authority tenders
Follow the prequalification of new port terminals and the pipeline project, the Logistics Corridor and the Río Indio tender planned for 2027.

STEP 3: Monitor the Cobre Panamá decision and its supply chain
Follow the government's choice of operating model and prepare for opportunities in mining services, power and logistics once a settlement is reached.

STEP 4: Structure contracts for predictability
Use legal stability agreements, international arbitration clauses and payment safeguards, particularly for projects with public-sector counterparties.

STEP 5: Build water and logistics scenarios into planning
Allow for possible El Niño-related canal draft limits and for the Balboa and Cristóbal port transition in shipping and supply-chain plans.